

Demand > Supply → We need **more demand** than supply is available.
 ↘ *High Profits*

People are ready to pay extra money.

Demand < Supply → Higher supply means less profits for this manufactures.
 ↘ *Low Profits / Loss*

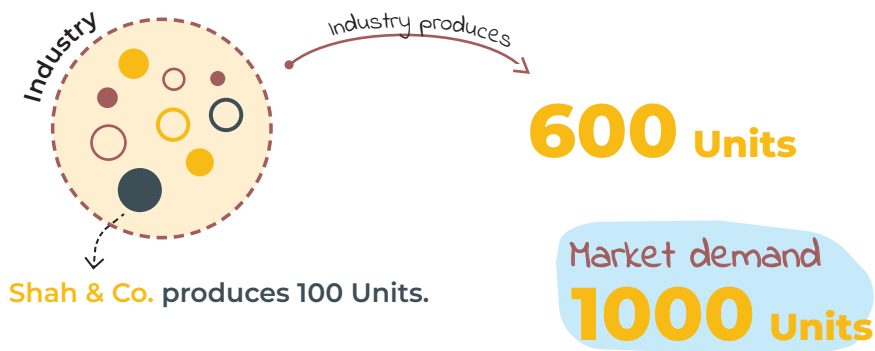
Everyone will try to sell product at cheaper rate.

This is how demand and supply affect a business cycle.
 Now let's understand different phases of the business cycle:

Different Phases of the Business Cycles

1 Expansion

When the supply is insufficient to meet existing demands, the business typically experiences expansion. The business as well as its product are generally doing well.



In such cases, Shah Co. would want to increase its supply from 100 units to 150 units to earn more money and profits. Thus, they continuously make investments to increase the supply and the company eventually expands. Supply must increase to keep up with rising demand.